SME Finance: business and revenue model design

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Lleidanetworks Serveis Telemàtics, S.A. Listed on BME Growth (LLN) and Euronext Growth Paris (ALLLN)

Financial analysis of the 2024 and 2025 financial years

Diagnosis, performance, financial decisions and recommendations

View the full presentation ↗

Animated version: alterbuild.github.io/lleida-net-financial-analysis

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EDHEC BUSINESS SCHOOL Professor Rania Labaki • IBT4 Lille • 22 October 2026



Agenda



Is Lleida.net creating value?

The question behind the six parts of our report.
Each of us presents one part.

1	**Preliminary analysis** Business, ownership, external environment, family	Anibal Estrada Slide 3	AE
2	**Business model canvas** The nine building blocks and the revenue model	Irene Carballeira Slide 4	IC
3	**Financial diagnosis** Balance sheet, income statement and cash flows	Juan Tent Slides 5 to 7	JT
4	**Performance analysis** ROS, ROE, ROCE, leverage, market ratios, value creation	Diego Martínez Slides 8 and 9	DM
5	**Financial decisions** Investment, financing and dividend decisions	Leyla Marco Slide 10	LM
6	**Recommendations and conclusions** Business model and effectual logic	Emma Soto Slides 11 and 12	ES

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Preliminary analysis

A founder-led, medium-sized SME selling legally valid digital evidence, back to profit after the 2023 crisis

Business

- Founded in 1995 by Francisco Sapena; listed in Madrid (BME Growth, 2015) and Paris (Euronext Growth, 2018)
- EU-qualified trust service provider: certified e-mails, notifications, contracts and SMS, plus wholesale SMS traffic
- 2023 net loss of €2.66m, then a recovery plan (up to 29 job cuts, UK and Costa Rica units closed)

Ownership, governance, family

Francisco (Sisco) Sapena
Founder, Chairman and CEO; 32.6% of the shares at the end of 2025



Francisco Sapena (founder)	**32.6%**
ENISA (public SME lender)	**7.1%**
Free float	**59%**
Treasury shares	**0.9%**

- **Founder-controlled:** a family firm only under the broad EC definition (25% of votes), not the course criteria
- 70% independent board; combined Chairman and CEO

External environment

Opportunities

- MASC law (April 2025): proof of a prior negotiation attempt before most civil claims
- EU digital identity wallet: banks must accept it by December 2027

Threats

- Decline of SMS; larger PE-backed competitors
- US dollar exposure: the euro rose 13% against it in 2025 (€104k of exchange losses)

1995
founded in Lleida

129
employees (2025 average)

€19.3m
sales 2025

300+
patents in 60+ countries

Shares at 31 December 2025, rounded; free float is the balance. Source: Lleida.net consolidated annual accounts 2025 (audited by PKF Attest); company releases; team analysis.

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Business model canvas

Two business models under one roof: high-margin certified-evidence SaaS and low-margin wholesale SMS

8 Key partners

- Mobile carriers
- Certification bodies
- Distributors and resellers
- Bar associations (events)
- Banks and ENISA (funding)

6 Key activities

- Platform, problem-solving
- Legal evidence for courts
- R&D and patents

7 Key resources

- 300+ patents, QTSP status
- 129 employees
- Intangibles 72% amortised

1 Value proposition

- Legal proof of sending, delivery, acceptance
- Cheaper, faster than burofax
- MASC, eIDAS, DORA compliance



4 Relationships

- Self-service and APIs
- Key-account managers
- One-year auto-renewal

3 Channels

- Web platform, APIs, app
- Direct sales (88%), distributors

2 Customer segments

- Diversified, single-sided
- Banks, insurers, utilities
- Public administrations
- SMEs and lawyers
- Telecom carriers

9 Cost structure

Value-driven (SaaS) and cost-driven (ICX): telecom traffic about 45% of sales (variable); staff 29% and D&A 11% fixed, hence strong operating leverage



5 Revenue streams

Usage fees per certified item and per message (ICX booked gross); subscriptions; 92% at fixed prices; patent licensing possible, not yet used



Numbers give the order in which we built the canvas in class, starting with the value proposition. Revenue split by business line, 2025. Source: team analysis.

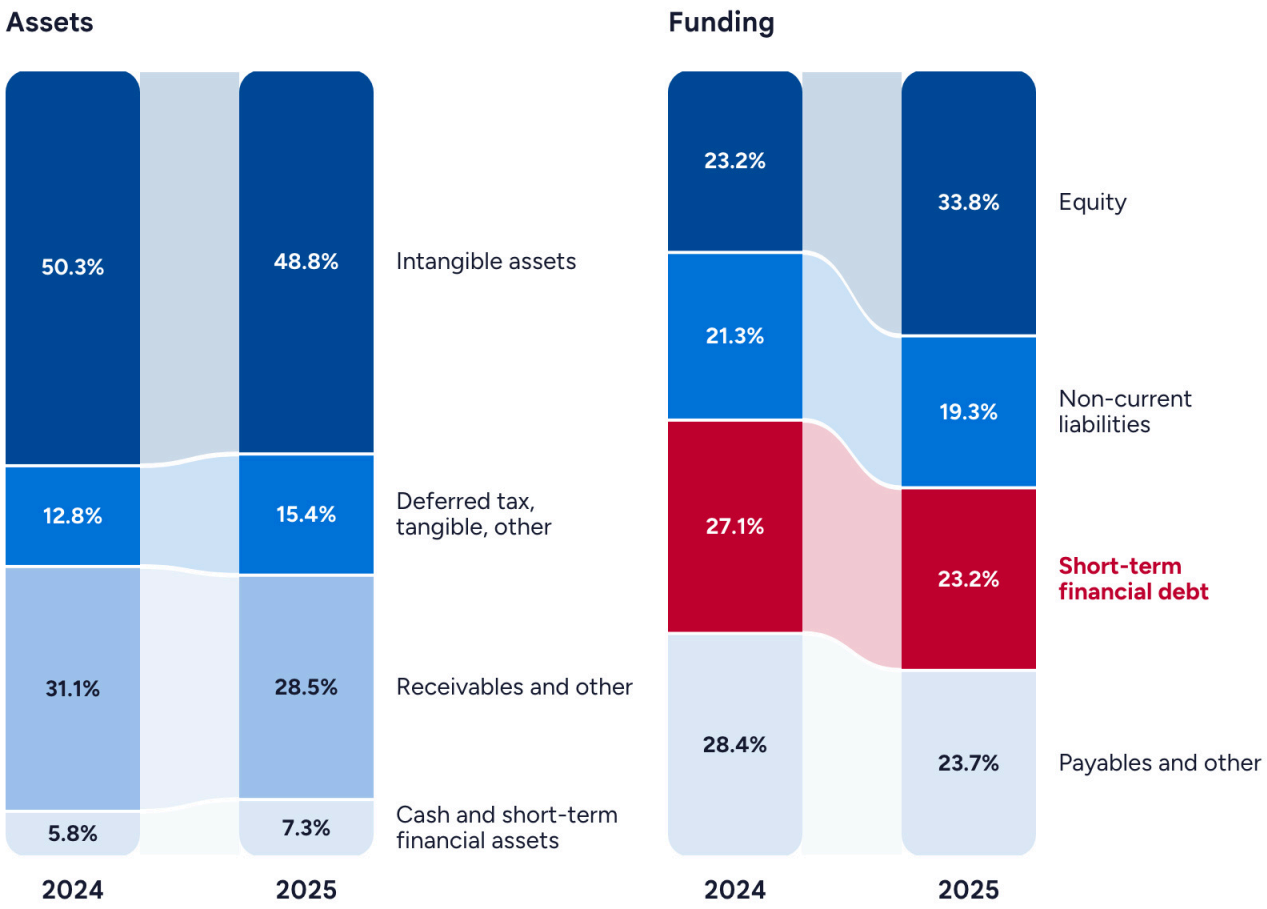
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Financial diagnosis

The balance sheet's weakness is the financing structure, not operations

Structure of the balance sheet (% of total assets)



Working capital (k€) and cycle (days)

	2024	2025
Working capital (WC)	(3,264)	(1,837)
OWC, course short form*	1,780	1,237
OWC in days of sales	34.1	23.4
DSO, customers (days)	80.5	66.0
DPO, suppliers (days)	107.8	100.3
Cash conversion cycle	**-27.3**	**-34.3**

2025: customers pay before carriers are paid



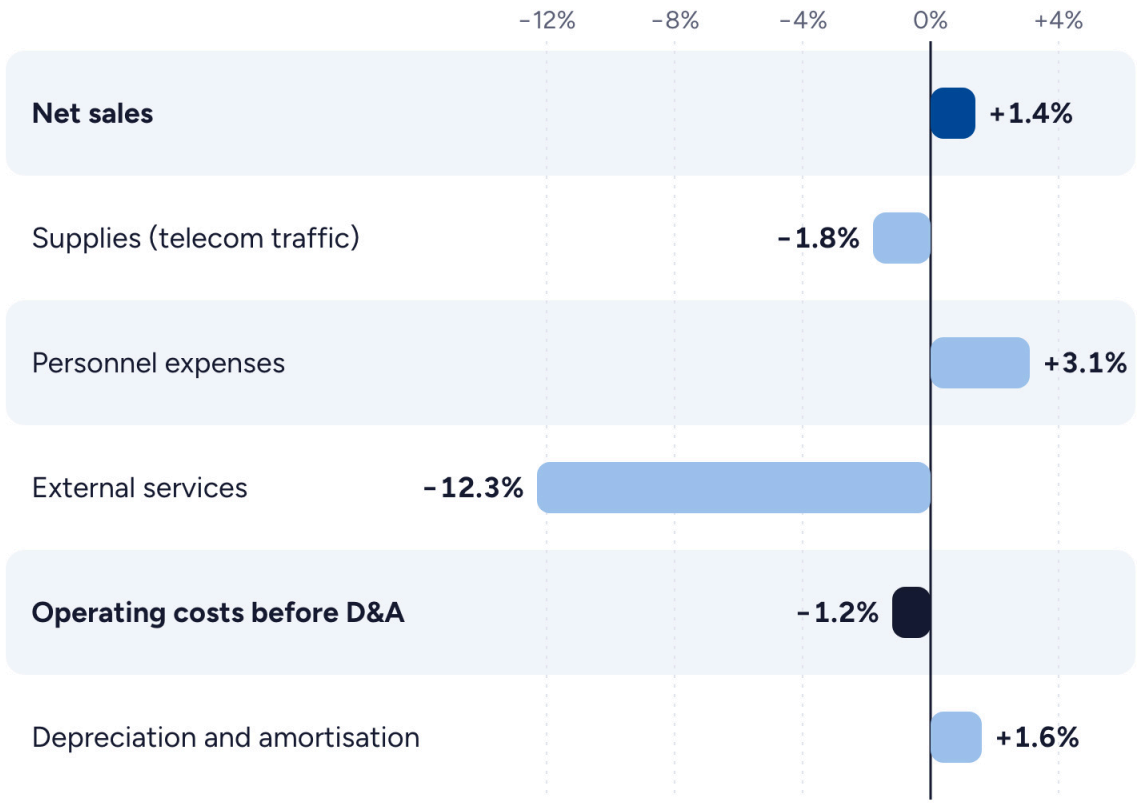
What it means

- Total assets -6.5%, receivables -12%, equity +36%
- WC is negative: permanent capital covers only 83% of fixed assets
- Negative cash cycle in both years: carriers are paid after about 100 days, customers pay in 66

* Course short form: trade receivables minus trade payables. DSO and DPO apply 21% VAT to domestic sales and purchases only. Source: consolidated balance sheet 2024 and 2025; team analysis.

Sales grew 1.4% while operating costs before D&A fell 1.2%: EBIT rose 49% and net income 41% (positive scissors effect)

Growth 2025 vs 2024: sales and costs



Positive scissors effect: sales up, operating costs before D&A down

Margins (% of sales), 2025 vs 2024

2024 2025

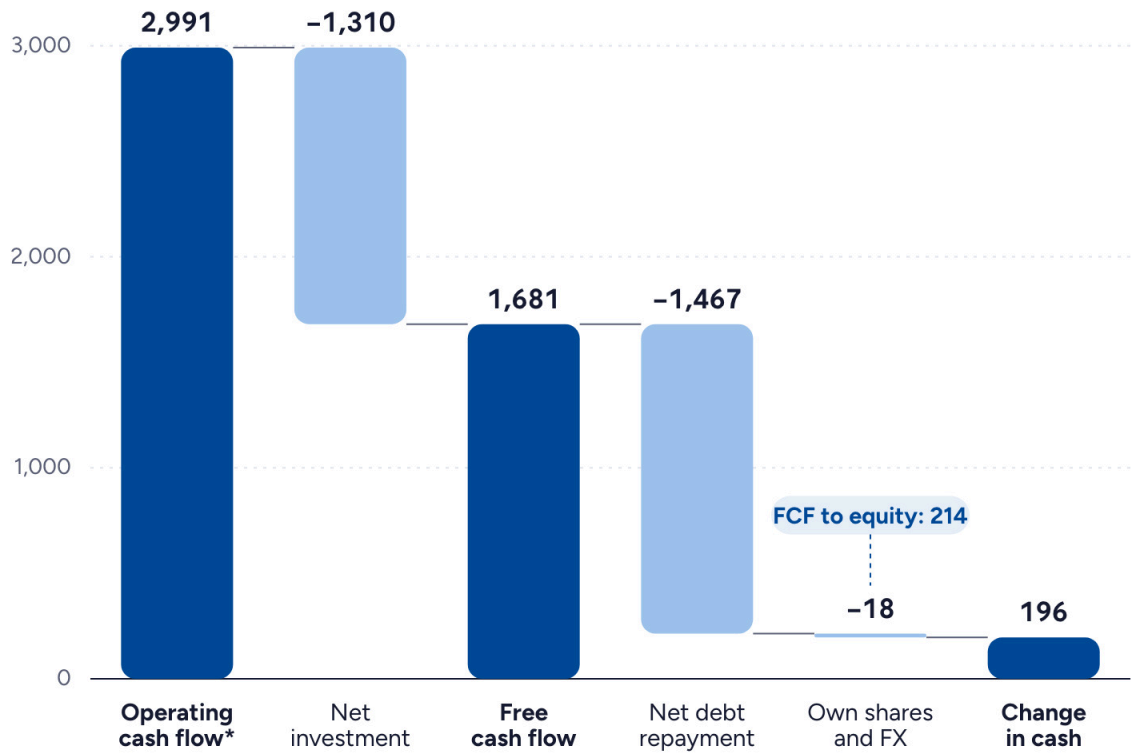
		2024	2025
Gross margin	▲ +1.5 pp	53.4%	54.9%
EBITDA margin	▲ +2.5 pp	16.7%	19.3%
EBIT margin	▲ +2.7 pp	5.8%	8.5%
Net margin	▲ +1.8 pp	4.6%	6.4%

- Capitalised R&D (€1.08m) lifts EBITDA, but adds only about €57k to EBIT once past R&D is amortised
- High operating leverage (gross margin = 6.5x EBIT): in H1 2026, sales −9% and EBITDA −27%

EBITDA on the course definition, by nature. Changes in percentage points use unrounded margins. H1 2026 figures are unaudited. Source: consolidated income statement 2024 and 2025; H1 2026 interim report; team analysis.

Operations generate about €3m of cash a year; half of it repaid debt (net of new loans), and net debt fell by €1.63m (22%)

2025 cash flows (k€)



Cash-flow statement, course format (k€)

	2024	2025
Cash flow (NI + D&A + non-cash)*	2,693	3,481
Change in OWC (cash effect)	231	(489)
Operating cash flow*	**2,924**	**2,991**
Capex incl. capitalised R&D	(1,183)	(1,361)
Operating free cash flow	**1,741**	**1,630**
Financial investments (net)	320	51
Own shares, FX, other items in net debt	(21)	(47)
Decrease in net debt	**2,040**	**1,634**

2.4x
operating cash flow / net income

49%
net debt repayment / operating cash

€214k
free cash flow to equity

* Comparable basis: capitalised R&D treated as an investment in both years (published 2025 operating cash flow: €1.91m). Totals may differ by 1 because of rounding. Source: consolidated cash-flow statement 2025; team analysis.

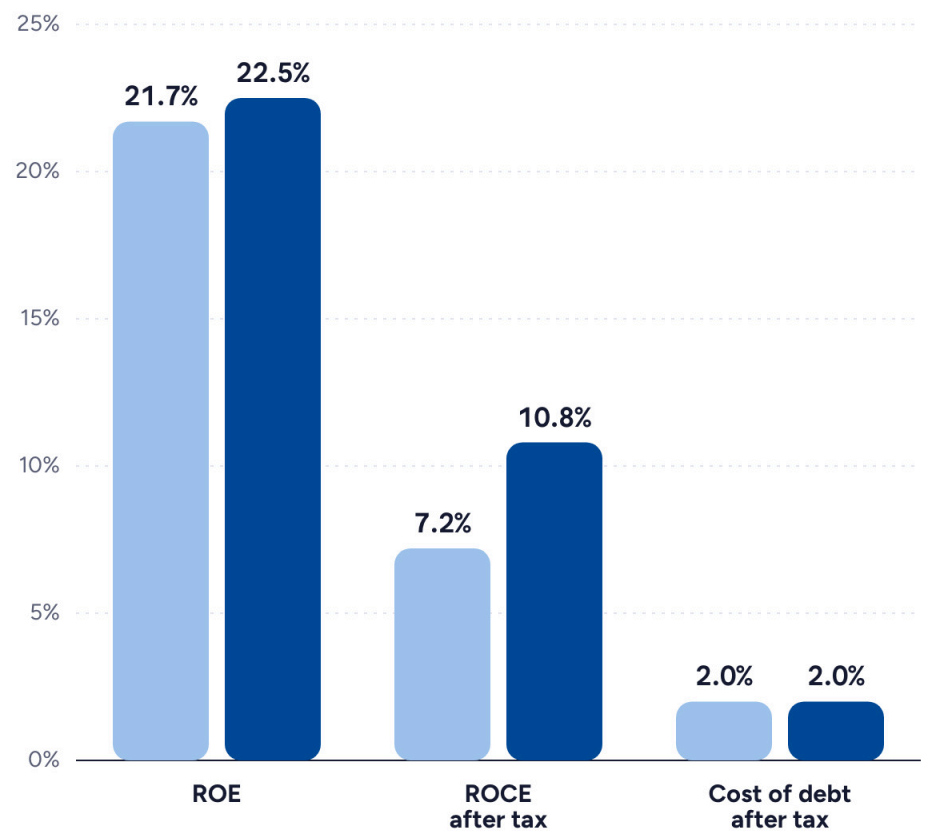
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Performance analysis

ROE rose to 22.5% on higher margins and turnover while the equity multiplier fell, and debt still adds 9.3 points

Returns, 2024 vs 2025



DuPont breakdown of ROE (2025, with 2024)

ROE
22.5%
2024: 21.7%

Net margin	×	Asset turnover	×	Equity multiplier
6.4%		1.18x		2.96x
2024: 4.6% ▲		2024: 1.09x ▲		2024: 4.31x ▼

Financial leverage

- ROCE after tax 10.8% against a cost of debt of 2.0% after tax: debt adds 9.3 points to ROE (9.5 in 2024)
- Net debt / equity down to 1.04x (1.83x in 2024), inside the 1 to 2x range

Ratios are rounded. ROCE after tax = EBIT × (1 − 25%) / capital employed. Leverage effect = (ROCE − after-tax cost of debt) × net debt / equity. Source: consolidated accounts 2024 and 2025; team analysis.

Value was created in 2025, but the cushion is thin: at the H1 2026 run rate, EVA would turn negative

Cost of equity (CAPM) and WACC, 2025

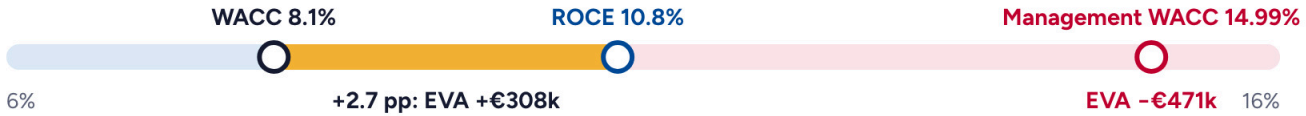
3.29%	+	1.11	×	6.0%	=	9.9%	→	8.1%
risk-free rate		equity beta		risk premium		cost of equity		WACC

Value creation (EVA), 2025

10.8%	−	8.1%	=	+2.7 pp	×	€11.3m	=	+€308k
ROCE after tax		WACC		spread		capital employed		EVA

2024: −€63k

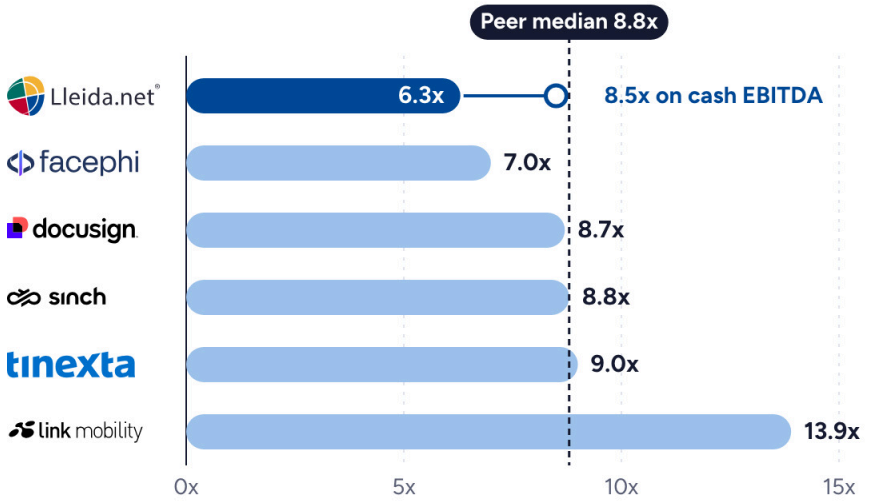
How thin the cushion is: ROCE against the cost of capital



Market ratios, end of 2025

15.6x	3.4x	0%	6.3x
PER	PBR	dividend yield	EV / EBITDA

EV / EBITDA, FY2025 (peer median 8.8x)



- EVA positive in each market-based variant taken alone (€45k to €469k), about nil if the most prudent are combined; negative at management's 14.99% WACC and at the H1 2026 run rate (−€146k)
- Market rewards high returns on a small book (PBR 3.4x vs 2.2x) but doubts their durability: EV/EBITDA 6.3x vs 8.8x (8.5x on cash EBITDA)

EVA = (ROCE after tax − WACC) × capital employed, computed on unrounded inputs. Peers: Facephi, Tinexta, DocuSign, LINK Mobility, Sinch; adjusted EBITDA; DocuSign year to 31 January 2026; Tinexta at the €15 takeover price. Source: annual reports; stockanalysis.com; team analysis.

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Financial decisions

Solvency is restored, but the platform is still under-renewed and 55% of financial debt is due within one year

Investment

Acc. depreciation / gross tangible assets* — **80%**

75%: our reference for ageing assets

Capex / D&A excl. goodwill — **0.82x**

2024: 0.73x

1.0x: asset base maintained

Intangible assets amortised or impaired — **72%**

2024: 68%

Financing

LT liabilities / equity — **0.57**

2024: 0.92

0.5: course benchmark

Net debt / EBITDA** — **1.43x**

2024: 2.29x

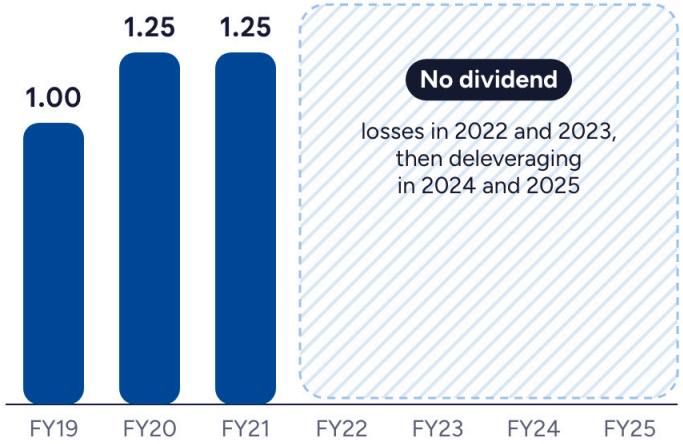
2.5x: usual bank comfort level

Current ratio — **0.76**

2024: 0.66

1.0: course target

Dividends (€ cents per share)



Payout FY2019 to FY2021: 18% to 24%; since then 0%

- **Investment:** capex rose to 0.82x D&A excluding goodwill (new servers) but stays below 1: the platform must keep being renewed (R5)
- **Financing:** pecking order (internal cash, then bank debt, no new equity since 2015); solvency restored, but 55% of financial debt is due within one year
- **Dividends:** zero payout consistent with weak liquidity and low free cash flow to equity (€214k, 17% of profit at most); a clear rule is needed (R6)

Ticks mark the benchmark, hollow dots the 2024 value. * 83.4% in 2024; it fell only because €257k of fully depreciated equipment was written off. ** Company EBITDA, as used by lenders and peers (1.55x on the course definition). Source: notes 5, 6 and 9 of the 2025 accounts; company releases; team analysis.

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Part 6 of 6

Recommendations and conclusions

Grow the certified-evidence business with partners, fix the debt maturity, and return to a rule-based dividend

Grow the business model

★ **R1 Make certified evidence the growth engine**

MASC and EU-wallet packs co-designed with partners

+€286k EBITDA from year 3, after €300k of pilots

R2 Run wholesale SMS for cash

Hedge the US dollar

Protects the margin

Repair the balance sheet

★ **R3 Cut customer payment time by 10 days**

From 66 to 56 days of sales outstanding

+€584k of cash, released once

★ **R4 Refinance €1.5m of short-term debt**

Spread over five years

0.90 current ratio, up from 0.76

Invest and reward

R5 Raise capex to 0.90x of D&A

Up from 0.82x, excluding goodwill; leases for IT; test patent licensing

+€137k of capex a year

★ **R6 Pay 20% of profit as dividend**

Only once four triggers are met: **debt, liquidity, cash, value creation**

€251k about 1.75% at €0.90

Govern and communicate

R7 Strengthen governance and reporting

- Lead independent director
- Succession plan
- ESG reporting

+€87k EVA for each −1 pt of premium

Effectual logic
How we place bets

1. **Start from our means**
   Who we are, what we know, whom we know
2. **Cap each bet**
   One-year affordable loss of €300k, funded by R3
3. **Scale on commitment**
   Only the packs that partners commit to

Gold star = priority: the three recommendations that matter most (R1; R3 and R4; R6). R1 impact from year three at a 60% incremental margin; R6 at the €0.90 share price of 13 October 2026. Source: team analysis.

Value creation in 2025: yes, but only just, and not yet durable

Turnaround achieved

Margins up, net debt down 22%, ROCE above WACC in 2025 (EVA €308k)

Still fragile

Flat sales, a third of sales in declining wholesale, short-term debt funding long-term assets

Early warning

H1 2026: sales −9%, EBITDA −27%; at that run rate 2026 EVA turns negative

Way forward

Certified-evidence revenue model, long-term financing, rule-based dividends

Proposed roadmap

1

Q4 2026 to Q3 2027

Refinance debt; collections plan; partner pilots; dividend rule

2

Q4 2027 to 2028

Scale the packs partners pay for; EU wallet services; governance

3

2028 onwards

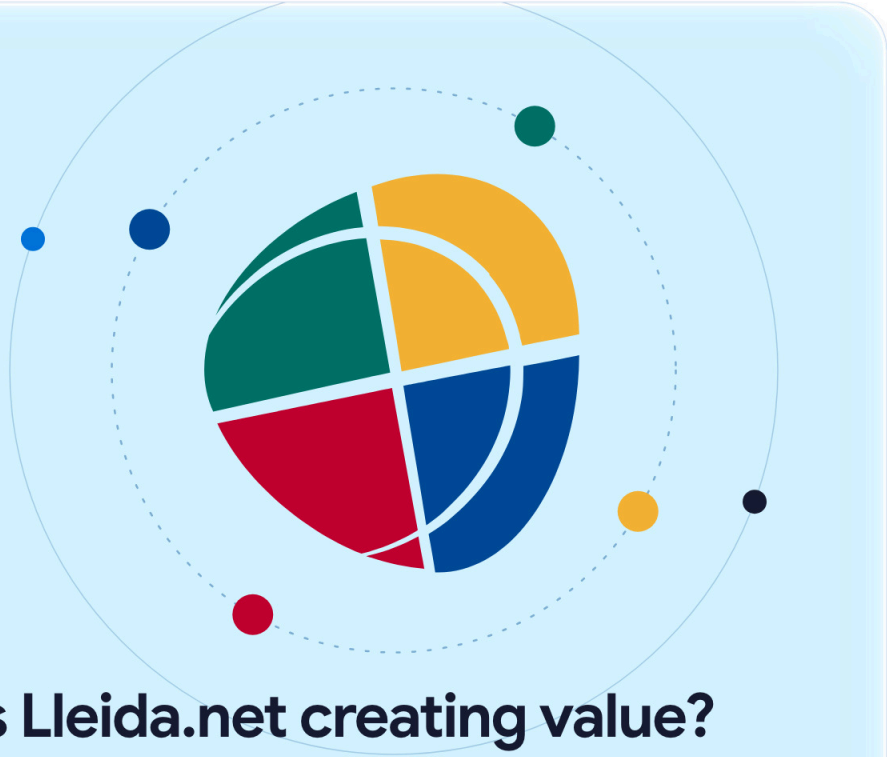
Licensing if a partner commits; first dividend if triggers are met

Each roadmap step needs a partner commitment obtained at the previous one. Source: team analysis.

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Thank you

We are happy to take your questions.



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